

More recent examples of this arrangement are Scullin Steel 6s and warrants and Commercial Mackay Income 4s and warrants.

Advantage of Option to Pay Cash. The option to pay cash instead of turning in the senior issue must be considered an advantage over a straight conversion privilege—first, because the bond or preferred, “ex-warrants,” may be worth more than par, thus increasing the profit; second, because, as previously explained, the holder may be glad to retain his investment while realizing a cash profit on its speculative component; and third, because the warrant is likely to sell separately at a greater premium over its realizable value than a pure convertible. All these advantages are illustrated by the Mohawk Hudson Power Corporation Second Preferred with warrants as shown in the table in Chap. 23. This stock was tenderable at par, in lieu of cash, upon exercise of the warrants, thus having rights equivalent to convertibility, but the warrant arrangement proved far more profitable than an equivalent conversion privilege.

Detachability. Stock-purchase warrants are either detachable, nondetachable, or nondetachable for a certain period and detachable thereafter. A detachable warrant may be exercised upon presentation of the warrant alone. Hence it may be sold separately from the issue of which it originally formed a part. A nondetachable warrant or right may be exercised only in conjunction with the senior issue; *i.e.*, the bond or preferred stock must be physically presented at the time of making payment for the common shares. Hence such warrants may not be dealt in separately. For example, the warrants attached to Montecatini 7s, due 1937, and those accompanying the Fiat Debenture 7s, due 1946, were detachable immediately after issuance. Those attached to Loews, Inc., \$6.50 Preferred, offered in December 1927, were not detachable until July 1, 1928; and the warrants attached to the Loews, Inc., 6% Debentures, due 1941, were not detachable until October 1, 1926, also six months after their issuance. On the other hand, the warrants attached to Crown-Zellerbach Corporation Debenture 6s, due 1940, and to Interstate Department Stores, Inc., 7% Preferred were not detachable during the life of the warrant, unless the senior issue to which they were attached were called for redemption.

In an active stock market, separate option warrants are popular with speculators (as pointed out before), and they sell at considerable premi-